

THE INCOMING DISRUPTION

The disruption in the industrial sector is still unknown, but inevitable. Companies need to wake up

BY KRISHNA GOPALAN

TECHNOLOGY'S **IMPACT** on business has been there for all of us to see. Even the smartest minds would have not

predicted the impact of real-time data or, for that matter, how AI will determine our future. That said, one point needs to be mentioned. A bulk of the digitisation that all of us have seen is in the consumer sector and greatly helped by the smartphone.

The real story will be the industrial sector. It is this facet that is researched threadbare in *Fusion Strategy: How Real-Time Data and AI will Power the Industrial Future*. Authored by Vijay Govindarajan, who teaches at Tuck School of Business, and David J. McGrath Jr., who is a professor of management at Questrom School of Business, Boston University, the book is notable because it offers a peek into a future that could very well be unrecognisable. "That part is only 25% of the global GDP of \$100 trillion. The real impact of the industrial piece will be quite profound," Govindarajan tells *BT*.

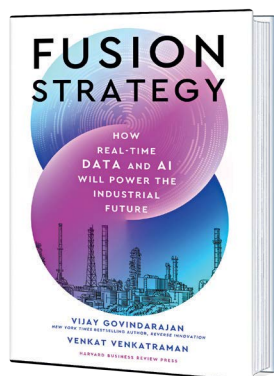
The evolution of technology over time is itself a compelling narrative. Consider the 1980s, when its impact was predominantly felt within organisations rather than on individuals.

Govindarajan, instead, speaks of the analogue world then and how that is now profoundly different. "The biggest difference in 2024 is digital affecting individuals in a positive way. In India, for instance, nobody carries money with digital payment [becoming the norm]," he says.

Cut to the fusion strategy where the physical and digital parts have to come together. That means one can track the product being used in real time, a concept that companies in the B2B business have never done. Tesla, for instance, can know what the person at the wheel is doing and make the product offering more relevant. Govindarajan believes industrial companies will need to wake up to the new reality. The last thing they would want is a digital tractor company being created by an Amazon instead of Mahindra. Of course, the process of data collection in the industrial sector is a lot more complicated.

India has a huge opportunity here. It is here that Govindarajan brings up the part on how the US has given up its manufacturing advantage and with its own strained relations with China, one must look elsewhere. But can India chip in? That's a story for another book. **BT**

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FUSION STRATEGY:
HOW REAL-TIME DATA AND
AI WILL POWER THE INDUS-
TRIAL FUTURE

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